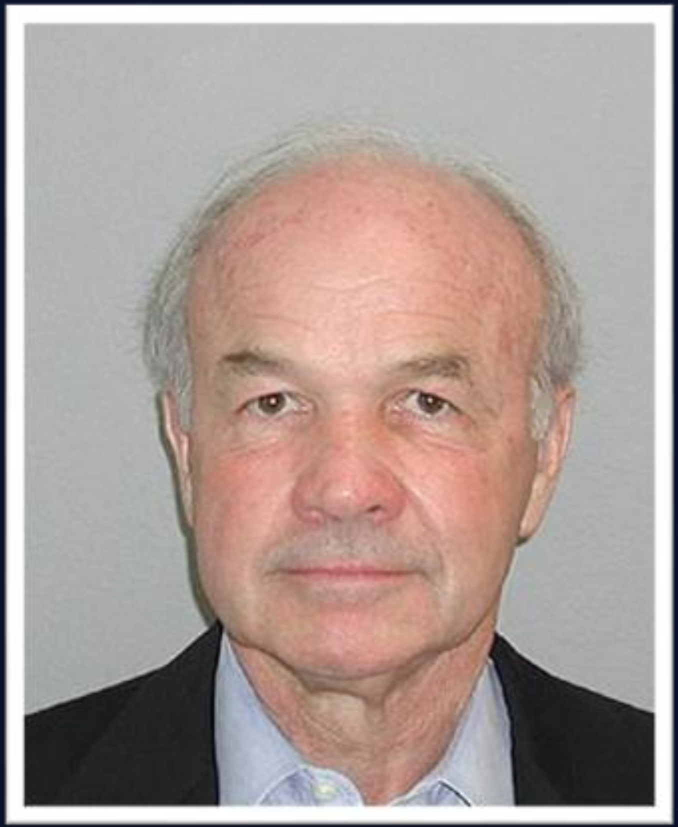
How accounting techniques fueled the rise and fall of Enron

The Start of Enron

- Formed in 1985 by Ken Lay
- Originally a natural gas pipeline business
- Limited financial risk and stable Asset based

Jeffrey Skilling

Andy Fastow



Ken Lay

Mark-To-Market Accounting

What is Mark-To-Market accounting?

- MTM is the method of valuing assets at their current price not their historical cost
- Approved by the SEC for Enron in 1992
- Jeff Skilling pushed for it to be approved
- Ultimately lead to their downfall

Mark-To-Market Continued

How Enron abused MTM

- Allowed them to book potential future profits the very day a deal was signed
- Their profits could be whatever Enron wanted it to be, leaving it open to manipulation
- There was no way to prove that Enron could actually meet performance goals
- Made Enron appear wildly profitable

Mark-To-Market Continued

Example of Enron abusing MTM

- Enron teamed up with Blockbuster to deliver movies on demand
- Due to technological issues the deal collapsed
- Using Mark-To-Market, Enron used future projections to book $53 million in earnings on a deal that made no money.

Corporate culture: "Visionaries Vs Neanderthals"

- Skilling valued performance over ideology
- RAC system implemented in late 1990s
- Employees were ranked and bottom 15% removed annually

Special Purpose Entities (SPEs)

- It was off-balance sheet manipulation
- SPEs were used to hide debt and losses
- GAAP required outside equity & independence
- Enron secretly owned all the entities

The "Big Enchilada"

- Enron wanted to be the amazon of energy
- Energy Equity Strategies
- EES division led by Lou Pai
- Losses transferred to SPEs

Derivatives & hedging

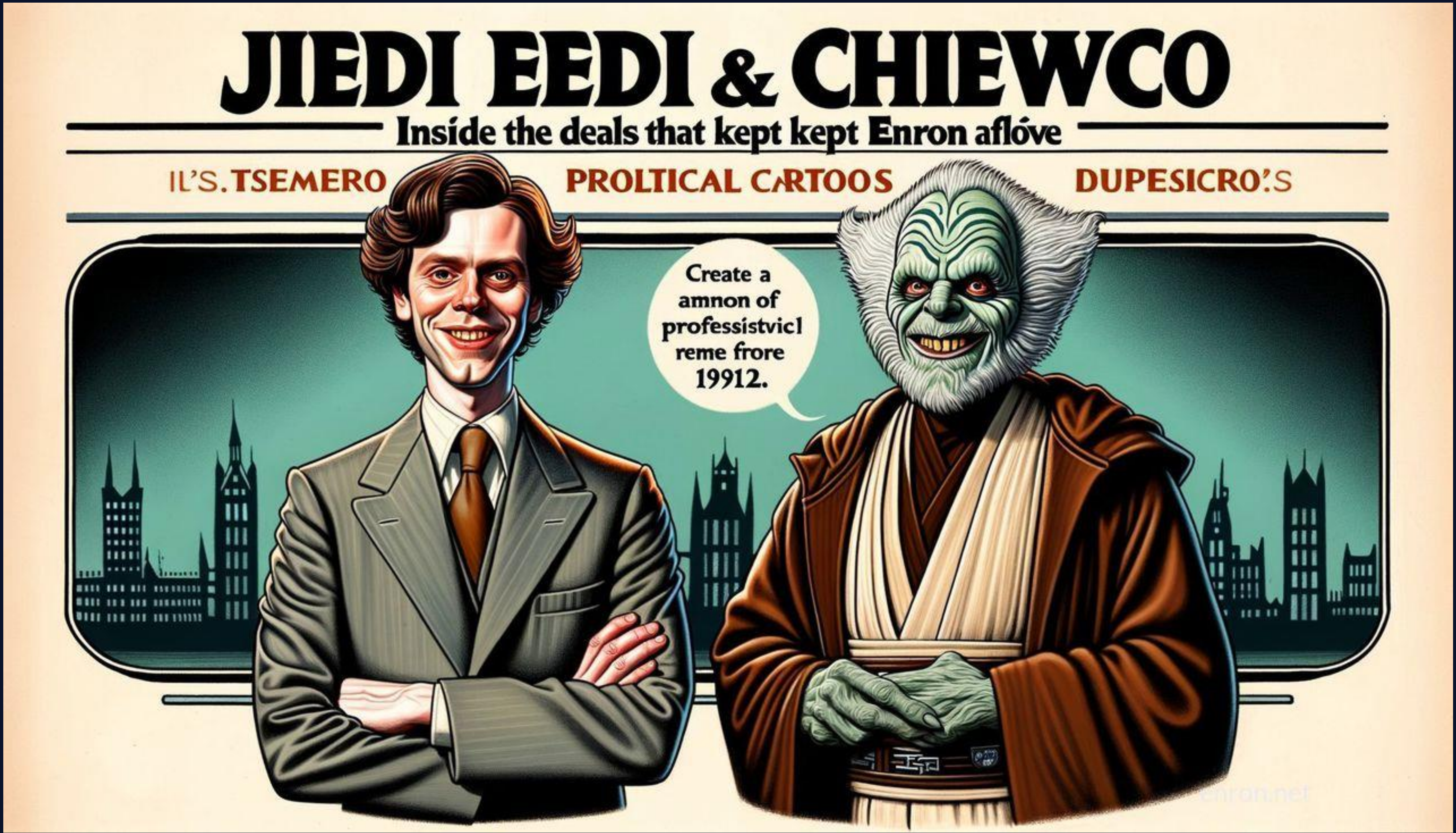
- Enron used derivatives to hedge investments
- Many hedges backed by Enron stock
- Circular hedges with SPEs
- Relied on the greater fool theory

LJM & LJM2

- LJM was created in 1999 by Andrew Fastow
- LJM2 followed shorted after
- Fastow personally profited from this

RADRs

- Raptors designed to hedge Enron investments
- Funded using Enron stock/ Backed by Enron Stock
- Collapsed when the stock price fell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Prepays & Structured Finance

- Prepay transactions resembled bank loans
- Recorded as operating cash flow
- Involved major banks such as Natwest, Cayman Island Entities, etc
- Misled investors on liquidity

How Prepays Worked:

- An SPE would borrow money from a bank.
- This SPE would be owned by Enron, which would give the money borrowed to Enron in a contract as payment for "future energy"
- The cash appears as trading revenue on Enron's books and effectively recorded as operating cash flows.
- And it would not appear as a loan on the balance sheet
- Even though Enron owed the money, it made their cash flows look healthy.

How Structure Finance Worked:

- Enron would usually sell bad assets to the SPEs at a higher price. Enron would record a gain, but it would still assume the risk, making it a fake transaction.
- They would also create profits when operations failed, this would be done by giving cash to the SPEs and then they would send it back and record it as revenue.
- And they would also manipulate timings, as they would rush long term future profits and move losses to the SPEs at the end of a quarter to "fix the earnings".
- This was only possible if the Enron stock kept rising.

Enron Online

- Enron online launched in 1999
- Enron acted as both a trader and a market maker
- Created various markets such as broadband, pulp, coal, paper
- Prices were set internally rather than true market price

Why Enron Online?

- They wanted to further inflate revenue as well as reinvent their identity, going from an energy company to a technology company.
- "The Amazon of Energy"
- This was also done to hide weaknesses that were appearing in the core business. It distracted investors and shifted the attention away from the cash flow problems.
- The site and the profits depended on constant trading and market confidence. Once trust in Enron fell, the liquidity vanished overnight

International Expansion

- Enron claimed it was exporting deregulated energy markets and building infrastructure in developing countries.
- In reality, They were trying to find less-regulated environments, hide losses, and keep the growth in profits.
- It allowed to make big projects that were perfect for MTM accounting since it was less regulated than the U.S.
- Any failures were deferred and kept alive through accounting tricks, the biggest example would be the Dabhol Power Plant in India.

Analyst deception

- Enron decepted analysts that tried to look too deep into their finances
- Analysts were given curated data
- Broadband venture overstated
- "Kitchen sink" Accounting used
- Losses were delayed as long as possible

Manipulation of Revenue Recognition:

Under GAAP,

Revenue should be:

- Earned
- Measurable
- Matched to actual performance

How did Enron inflate their revenue?

- Used Mark-to-Market Accounting
- Recorded entire projected profits upfront (unrealized gains do not qualify as revenue)
- Reported revenue even when they had losses (losses hidden instead of reported)
- Recognized revenue from long term contracts instantly (20 year Blockbuster deal)

Enron based recorded revenues on assumptions, not actual performance

California Energy Crisis & Unethical Behavior

- California's electricity market partially deregulated
- Enron traders exploited regulatory loopholes
- Intentionally created artificial shortages through:

- Exporting power, overbooking transmission lines, & overstating demand -> dramatically increasing prices/created rolling blackouts

- Profits = generated from the blackouts and price increases
- - Enron was aware of harm being made to consumers, celebrated blackouts/suffering (higher prices = higher profits
- Human impact was ignored in pursuit of revenue/ clear ethical failure
- Profits from crisis recognized immediately as trading revenue by Enron/ violated Rev.Recognition

Psychological Drivers & Consequences:

Enron scandal = not just about #'s, more about people, it was a human tragedy driven by:

- Normalization of unethical behavior
- Greed
- Overconfidence
- Competition

As a result,

- Bankruptcy wiped out over $60 billion in shareholder value
- Acct firm (Arthur Andersen)collapsed due to loss of credibility
- Employees lost jobs/retirement savings
- Led to Sarbanes Oxley Act

The Collapse

- Stock price collapses mid- 2001
- SPEs and hedges fail simultaneously
- Dynegy merger fails in November 2001
- Enron files for bankruptcy Dec 2, 2001

Good morning! CLOUDS, HIGH 90, LOW 72 / PAGE B10 BERKMAN AGGRAVATES KNEE AS ASTROS FALL / PAGE C1

HOUSTON CHRONICLE

FRIDAY, MAY 26, 2006

Ken Lay, 10 counts: 10 guilty | Jeff Skilling, 28 counts: 19 guilty

Bottom line: Guilty

The message is loud and clear

IN the end, it came down to responsibility. That was the theme that ran through jurors' comments Thursday as they explained why they found Ken Lay and Jeff Skilling guilty.

Tension before the verdict, then sobs

EX-ENRON BOSSES CLOSER TO PRISON

Top execs convicted in scheme to hide firm's financial health; experts say they could get up to 25 years at Sept. 11 sentencing

By MARY FLOOD

Enron talk online

Hear jurors explain the decision, listen to key Enron figures, explore an interactive timeline, and discuss the verdict at chron.com/enron

Beyond the verdict

Complete coverage, including reaction from ex-employees, what's next for Lay and Skilling, and a look at the verdict, count by count.

Senate OKs immigration bill; difficult House negotiations loom. PAGE A12

Bush, Blair acknowledge Iraq missteps, pledge to move forward. PAGE A21

X-Men return

The road to recovery

WE RECYCLE

What we learned

- Estimates must reflect economic reality
- Independence is essential
- Complexity enables concealment
- Ethical leadership is critical